

PAYROLL ACCOUNTING (125)

—Secondary—

NATIONAL – 2019

Multiple Choice & Matching Section:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Short Answer (21 @ 2 points each) _____ (42 points)

Production Portion:

Job 1: Payroll Entries (50 @ 1 point each) _____ (50 points)

Job 2: Employer's Tax Liability (12 @ 2 points each) _____ (24 points)

Job 3: Time Card (14 @ 2 points each) _____ (28 points)

TOTAL POINTS _____ ***(184 points)***

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Payroll Clerk and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals
- Assume employees earn an overtime rate at 1.5 times their hourly rate for any hours worked over 40 in a week unless otherwise instructed
- All time calculations are rounded to the nearest quarter hour
- Use 6.2% for Social Security Tax on the first \$118,500 in wages
- Use 1.45% for Medicare Tax for all wages
- Use 5.4% for State Unemployment Tax and 0.8% for Federal Unemployment Tax (\$7,000 ceiling)
- Assume that no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. The gross earnings of six of the seven employees at a local supermarket for a week were: \$270.90, \$320.80, \$280.35, \$165.20, \$210.90, \$145.75. How much would the seventh employees gross earnings for the week be if the average for all seven employees is \$248.21.
 - a. \$199.13
 - b. \$232.32
 - c. \$248.21
 - d. \$343.57
2. If an employee earns \$7,400 in a calendar year, the Federal Unemployment Tax liability for the employer will be
 - a. \$ 56.00.
 - b. \$ 59.20.
 - c. \$ 560.00.
 - d. \$ 592.00.
3. When completing the entry to record the payment of salaries for the pay period, the amount credited to cash represents the
 - a. employer's tax liability for the pay period.
 - b. employees' gross earnings for the pay period.
 - c. employees' net earnings for the pay period.
 - d. none of the above.
4. The fewer allowances an employee claims for Federal Income Tax, the
 - a. higher their gross pay will be per pay period.
 - b. lower their gross pay will be per pay period.
 - c. more Federal Income taxes will be withheld per pay period.
 - d. less Federal Income taxes will be withheld per pay period.
5. The guide published by the Internal Revenue Service for employers to use when deducting federal income tax from an employee's pay is
 - a. Circular A.
 - b. Circular D.
 - c. Circular E.
 - d. Circular G.
6. The tax that helps the federal government provide retirement, disability and survivor benefits to qualified individuals is
 - a. Social Security tax.
 - b. Medicare tax.
 - c. Federal Income tax.
 - d. Federal Unemployment tax.

7. If an employee is paid semi-monthly, how many paychecks will he receive in a year?
 - a. 12 paychecks
 - b. 24 paychecks
 - c. 26 paychecks
 - d. 52 paychecks

8. A federal form sent to independent contractors showing the income they earned from a company for the previous year is a
 - a. 1099-INT.
 - b. 1090-INT.
 - c. 1099-MISC.
 - d. 1090-MISC.

9. The amount of money a company *must* transfer to their payroll account depends on the amount taken from which form?
 - a. Gross pay of the payroll register
 - b. Net pay of the payroll register
 - c. Accumulated earnings of the employee earnings record
 - d. none of the above

10. Unemployment taxes are paid by
 - a. the employee.
 - b. the employer.
 - c. both the employee and employer.
 - d. neither the employee or the employer.

11. After posting the Salaries Expense transaction and the Payroll Taxes Expense transaction, there should be _____ credit(s) to the Federal Income Tax account in the general ledger.
 - a. one
 - b. two
 - c. three
 - d. four

12. Federal tax deposit coupon is referred to as
 - a. Form 8109.
 - b. Form 8019.
 - c. Form 9801.
 - d. Form 9108.

13. To record a deposit of Federal Income tax, social security, and Medicare taxes withheld the accountant would
 - a. debit an expense account and credit one or more liability accounts.
 - b. debit an asset account and credit an expense account.
 - c. debit one or more liability accounts and credit an asset account.
 - d. debit one or more expense accounts and credit one or more liability accounts.

14. Which tax report is filed by the employer at the end of the quarter to show the amount of the federal income tax withheld?
 - a. Form 827
 - b. Form 940
 - c. Form 941
 - d. Form 8109

15. Each employee of a firm will receive several copies of Form W-2, the Wage and Tax Statement, from the
 - a. employer with each paycheck.
 - b. employer once a year.
 - c. federal government once a year.
 - d. employer once a quarter.

16. Employees who are paid per item produced are paid on a
 - a. per diem basis.
 - b. bonus plan.
 - c. piece-rate plan.
 - d. commission plan.

17. The process that requires an employer to withhold a portion of an employee's paycheck to pay a court-ordered debt settlement is
 - a. embezzlement.
 - b. withdrawal.
 - c. impounded.
 - d. garnishment.

18. Which of the following taxes is *not* withheld from an employee's pay?
 - a. Federal income tax
 - b. Social security tax
 - c. FUTA tax
 - d. Medicare tax

19. The entry to record the payment of FUTA tax would include
 - a. a debit to State Unemployment Tax Payable and a credit to Payroll Taxes Expense.
 - b. a debit to Payroll Taxes Expense and a credit to Cash.
 - c. a debit to Payroll Taxes Expense and a credit to Federal Unemployment Tax Payable.
 - d. a debit to Federal Unemployment Tax Payable and a credit to Cash.

20. The base earnings subject to social security taxes is
 - a. larger than the base for unemployment.
 - b. smaller than the base for unemployment.
 - c. the same as the base for unemployment.
 - d. the amount of total earnings.

SHORT ANSWER

1. Howard works as a mechanical engineer and earns \$112,800 as an annual salary. Howard is paid semi-monthly.
 - a. How much is Howard's gross earnings each pay period? _____
 - b. What is Howard's per pay period Social Security deduction? _____
 - c. What is Howard's annual Medicare deduction? _____
 - d. If Howard is taxed at a rate of 2.70% for city tax, how much is deducted from his salary per paycheck for city tax? _____
 - e. Howard's employer deducts \$368.43 for federal income tax. What percentage of Howard's per pay period gross earnings is deducted for federal income tax? _____
 - f. If Howard's net pay for each pay is \$3,642. What percent of his semi-monthly gross pay is deducted from his salary to yield this net pay amount? _____
 - g. During Howard's evaluation review, he was told he would be receiving a pay increase of 4.5 percent. What will Howard's new annual salary be? _____

2. Harmony works on a straight commission basis. Her employer uses a graduated commission to encourage workers to sell more. This month Harmony had total sales of \$34,190. Using the graduated commission chart below, what are Harmony's commission earnings for the month?

SALES	COMMISSION RATE
\$0-10,000	3%
\$10,000 - \$25,000	6%
Over - \$25,000	10%

3. Megan earns a bi-weekly salary of \$3,320 as a junior financial analyst. She is being promoted to senior financial analyst. In her new position, she will be making \$3,914 bi-weekly. How much more per year will Megan earn as a senior financial analyst? _____

4. Hector earns a salary plus bonus commission on sales and is paid bi-weekly. His gross earnings for the year are \$32,540. He earns an extra 5 percent on all net sales over \$2,200 per pay period. During this pay period, his sales were \$8,375 and the return on sales was \$382. What was Hector's gross earnings for the pay period?

5. The monthly salaries for August and the year-to-date earnings as of July 31 for three employees are listed below. Compute the amount of social security tax and Medicare tax to be withheld from each of the employees' gross pay for August. Assume a base of \$118,500 for social security tax for the calendar year.

Employee No.	August Salaries	Y-T-D Earnings through July 31	Social Security tax for August	Medicare tax for August
1	\$ 9,000	\$108,000		
2	\$13,000	\$113,800		
3	\$15,600	\$119,600		

6. Muriel works as a dental hygienist. Her annual salary is \$62,340 for a 40-hour work week. Calculate what she receives in each of the following pay situations.

Weekly _____

Hourly pay rate _____

Overtime pay rate _____

7. Dustin works as a freelance writer. He has been hired to write an article for a national magazine. The magazine has agreed to pay him \$8,000 for the article. Dustin took 19 days to complete the article for submission. He calculate that he worked an average of 7 hours each day.

What is Dustin's per day rate of pay? _____

What is Dustin's hourly rate of pay? _____

JOB 1—PAYROLL ENTRIES

Below is a partial payroll register for the current pay period ending on March 30, 2019. In the general journal provided, journalize the payroll transactions.

PAYROLL REGISTER

Employee No.	EARNINGS			Federal Income Tax	State Income Tax	Social Security Tax	Medicare Tax	Health Insurance	Total Deductions	Net Pay
	Regular	OT	Total							
TOTALS	\$13,450	2,800	16,250	1,598	812	1,007	236	475	4,128	\$12,122

TRANSACTIONS

- May 30 Journalize the employees' salary expense and deductions using the information in the table above
- 30 Journalize the employer's tax liability based on the pay period in the table above.
- June 15 Electronically transferred to the Federal government payment of the Federal Income Tax, \$1,598.00; Social Security tax, \$2,014; and Medicare Tax, \$472 for March.
- June 15 Sent payment to Commerce Insurance for the employees' insurance premiums for March, \$475.00.
- July 15 Electronically transferred to the state government the unemployment tax for quarter ended June 30, \$1,410.00.
- July 15 Electronically transferred to the federal government the unemployment tax for quarter ended June 30, \$290.00.

[illegible]

JOB 2—EMPLOYER’S TAX LIABILITY

EMPLOYEE #	PRIOR ACCUMULATED EARNINGS	EARNINGS FOR CURRENT PAY PERIOD	UNEMPLOYMENT TAX EARNINGS
1	\$7,550	\$975	
2	5,493	823	
3	6,290	933	
4	4,979	588	
5	\$6,885	\$735	
	TOTALS	\$	\$

Social Security Tax Payable \$ _____

Medicare Tax Payable \$ _____

FUTA Payable \$ _____

SUTA Payable \$ _____

Total Payroll Taxes \$ _____

JOB 3—TIME CARD

Using the following time card, calculate the regular, overtime, and total earnings for Romeo Hayfield. Romeo takes a one-hour unpaid lunch period each day he works more than 5 hours. The company rounds time to the nearest quarter hour.

TIME CARD			
Employee No. 12409		Week Ending April 30, 2019	
NAME: Romeo Hayfield		EXEMPTIONS: 3	
MARITAL STATUS: Married		HOURLY RATE: \$24.25	
DAY	IN	OUT	HOURS
Monday	8:01 AM	6:15 PM	
Tuesday	7:58 AM	5:00 PM	
Wednesday	7:59 AM	7:45 PM	
Thursday	8:01 AM	7:30 PM	
Friday	8:00 AM	5:30 PM	
Saturday	8:58 AM	1:00 PM	
	HOURS	RATE	EARNINGS
Regular			
Overtime			
Totals			